

Loan Funds

The other source of funds a company has access to are borrowings. Borrowing is often preferred by companies as it is quicker, relatively easier and the rules that need to be complied with are less. The loans taken by companies are either:

1. *Secured Loans*: These loans are taken by a company by pledging some of its assets, or by a floating charge on some or all of its assets. The usual secured loans a company has are debentures and term loans.
2. *Unsecured Loans*: Companies do not pledge any assets when they take unsecured loans. The comfort a lender has is usually only the good name and credit worthiness of the company. The more common unsecured loans of a company are fixed deposits and short term loans. In case a company is dissolved, unsecured lenders are usually paid after the secured lenders have been satisfied.

Borrowings or credits for working capital which fluctuate such as bank overdrafts and trade creditors are not normally classified as loan funds but as current liabilities.